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Custer Area Economic Development Foundation

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Project & Client Description

- Custer Area Economic Development Foundation (non-profit community organization) partnered with CBC to better understand the role of tourism in the local economy
- We evaluated community economic activity, employment figures and public-finance indicators.
- Goal is to provide findings that can support future economic growth and community planning





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Scope of the Project

What we analyzed

- Tourism employment and labor income
- Taxable sales patterns
- Lodging capacity and park-related indicators
- Lawrence County benchmark comparison

How we approached it

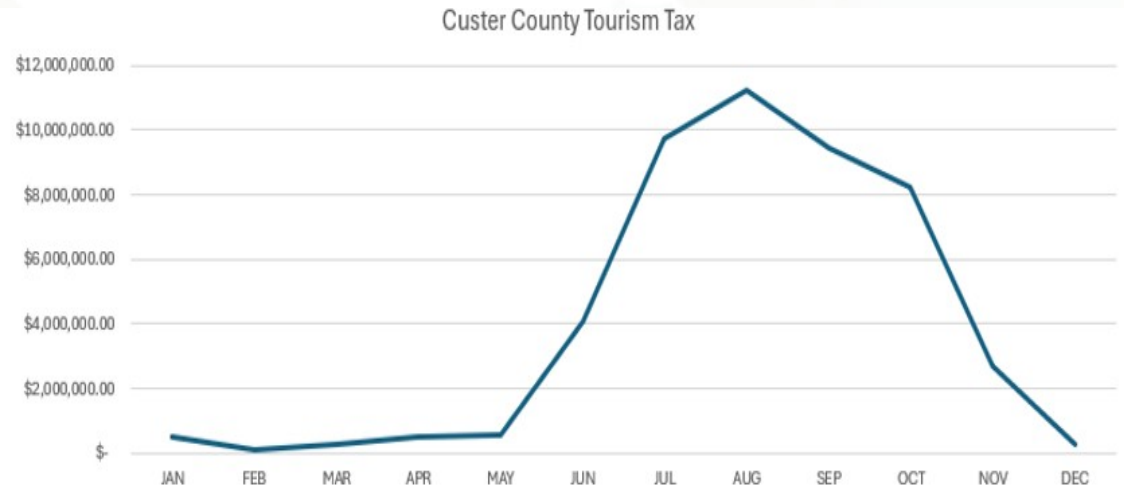
- Combined multiple data sources
- Compared countywide and city-level indicators
- Focused on seasonality, concentration, and regional context

Key Findings: Tourism's Economic Impact

- 24.3% of county employment tied to tourism
- 751 direct jobs
- 1,160 total supported jobs
- \$21.2 million in direct labor income
- \$38.8 million in total labor income
- \$9.2 million in state and local tax receipts
- Tourism supports a much larger share of county employment in Custer (24.3%) than in Pennington (13.5%) or Minnehaha (9.6%) Counties



Seasonality & Concentration



- Tourism and related activity peaks sharply in summer and early fall
- Retail and services make up about 85% of Custer City's taxable sales
- Custer City accounts for 87.7% of county taxable sales

Key Findings: Custer State Park & Lawrence County Benchmark



Custer State Park

- Estimated \$83.7 million economic contribution
- 29% of SD tourist visitation
- 14% of SD camping activity
- 623 county hotel rooms, with 228-261 in the park

Lawrence County

- Larger average establishments
- Slightly higher wages per employee
- Higher wages per establishment
- Custer County is highly tourism dependent, but its business structure differs from a nearby comparison county

Findings & Recommendations

- Use the county's seasonal tourism patterns more intentionally in planning and communication
- Continue using peer-county comparisons and major tourism-asset indicators, such as those related to Custer State Park, when discussing county economic conditions
- Overall, tourism appears to be among the most important drivers of Custer County's economy



What we gained from the experience

- Experience with working with a real community/economic development client
- Experience combining multiple public and client-provided data sources
- Stronger skills in interpreting county-level economic and public finance indicators
- Experience translating analysis into practical recommendations for a non-academic audience

